

I thought you would like to know that someone has printed a brochure stating that you are a professor at Stanford University and that you found that 20 percent of the millionaires in America are dry cleaners.... Is this true?

First, neither one of us ever taught at Stanford. Second, neither of us has ever stated that one in five millionaires is at this moment pressing shirts. We did find in the mid-1980s that dry cleaning was a profitable small-business industry. But again, profits don't automatically translate into affluence or accumulated wealth. This is like those sons of ours and perhaps yours who thought they would make the varsity basketball team because they bought a pair of Air Jordan shoes. A label does not make a varsity player. Nor does an industry label make the business owner wealthy. It takes talent and discipline to generate profits and ultimately wealth. That is why we are offended by people who tell the American public:

Just buy my educational/study-at-home kit and your new business venture will be a success. Start your own business today—you will be wealthy tomorrow. I did it in this industry. You can do it, too! It's so easy!

Again, it's not the kit, not the idea, not the industry. For example, the profitability data for hardware/lumber retail establishments twenty-five years ago never got us excited. They didn't convince us to invest in a business of this type. But think what the founders of the highly profitable Home Depot did. They reinvented the industry. They did not allow industry standards for profits, sales volume, or overhead to dictate how they operated their business and invested their money. These founders had tremendous talent, discipline, and courage. They became wealthy and helped make a lot of their employees and other investors financially independent. Most people who make it big in business set their own very high standards.